14. INCOME TAXES

The Company has tax net operating loss carryforwards of approximately $11.2 million, which are available to offset future regular taxable income. The losses expire from 2011 through 2023. Some of the losses are limited to annual maximum amounts, due to a prior ownership change, as defined in regulations under Section 382 of the Internal Revenue Code. Certain net operating loss carryforwards for the State of California have been suspended for the years ending June 30, 2003 and 2004.

The components of current and deferred income tax expense (benefit) are as follows:

(In thousands)	Year Ended June 30, 2003	Year Ended June 30, 2002	Year Ended June 30, 2001
Current:			
State	$ -	$ -	$ -
Federal	-	-	-
Deferred:			
State	-	-	-
Federal	504	-	(778)
Net income tax expense (benefit)	504	$ -	$778

A reconciliation of income taxes between the statutory and effective tax rates on income before income taxes is as follows:

(In thousands)	Year Ended June 30, 2003	Year Ended June 30, 2002	Year Ended June 30, 2001
Income tax (benefit) expense at U.S. statutory rate	$ 457	$ (318)	$(867)
Non-deductible goodwill	-	203	203
Valuation Allowance	302	(117)	-
Utilization of loss carryforward	(666)	-	-
Non-deductible expenses	411	232	(114)
	$ 504	$ -	$(778)

The components of deferred income taxes are as follows:

(In thousands)	Year Ended June 30, 2003	Year Ended June 30, 2002
NOLs	$3,802	$4,468
Tax credits	286	286
Accrued amounts and other	667	694
	4,755	5,448
Depreciation and amortization	39	87
	4,794	5,535
Valuation allowance	(2,299)	(2,601)
	$2,495	$2,934